

Workshop 1

Welcome!

Find a group to work with & say hi!

ECO 101: Principles of Microeconomics

Workshop Overview

- Opportunity Cost
- Three Principles
- Willingness to Pay or Accept
- ECO101 Overview

Three Principles

Big Picture: Systematic Approach

- Step 1: What is the choice?
 -
- Step 2: Is there a quantity dimension? If so, what quantity would I choose?
 -
- Step 3: Given that quantity, is the answer yes or no?
 -

Three Principles

P1: Always use Opportunity Costs

- Set the choice up as Benefits vs. Opportunity Cost
- The next best alternative use of resources is built into Opp. Cost

P2: If I choose it, what quantity?

- Compare marginal (extra) opportunity cost and marginal benefit

P3: That quantity, or nothing?

- Compare total benefits and total opportunity cost at that quantity

Scenario

- City pays \$30 an hour and has to choose how many hours go in a shift
- Uses data on a “typical” worker

P2: If sign up, for how long?

- City pays \$30 for every hour shovelled
- “Typical” NYC resident considers cold, tiredness, i.e., misery of shovelling as the only cost
- Cost of their misery (in dollars) for each additional hour:

Hours	1st	2nd	3rd	4th	5th	6th	7th
Misery cost	\$5	\$10	\$15	\$20	\$25	\$30	\$35

- **How many hours would the typical worker work, if they sign up?**

P3: Sign up or not?

- If sign up, work for ____ hours
- Over the entire ____ -hour shift:
- Total misery cost: ____
- Total benefit: ____
- Sign up? ____

Opportunity Cost

Why Opportunity Cost?

- Choice means allocating scarce resources
- The cost of doing something is giving up the chance to put those resources to their next best use
- **What if a resource has no alternative use?
Or cannot be reallocated to another use?**
 - Then it is sunk. It is not a relevant cost for your decision

Calculating Opportunity Cost

- Identify the resources being used
- Identify the next best alternative (NBA) use of the resources

$$\textbf{\$OC = \$Resources used + \$V(NBA) - \$Resources(NBA)}$$

Resources used: what you must give up to do the thing

$\$V(\text{NBA})$: the value from putting the resources to their next best alternative

$\$Resources(\text{NBA})$: what resources the alternative would itself have used up

Example

Next: Worksheet (counts for grades)

- **2 or 3 people per sheet.** Individual submissions get zero. 4 people -> 2 people per sheet.
- Put your **student numbers** on the front (only numbers, no letters)
- Questions on screen, put answers on sheet.
- **Hand in to me or the TAs at the front** before leaving. Will be returned to you via Crowdmark.
- Graded for effort: setup, numbers and brief explanation.

Worksheet Q1 (counts for grades)

Put answer on worksheet

Willingness to Pay
(or Accept)

What is more intuitive?

- Benefits vs. Opportunity Cost

or

- **What it is worth to me vs. the price**
- These are the same statement. We just move terms across the equals sign and rename what is left
- **Keep the thing you care about on one side. Push everything else to the other**

Example: Buy 1 sweater or not

NBA: Next Best Alternative; $\$V$ = Value expressed in \$s

- NBA: jacket
- Resources: only cash with prices ($\$P_{sweater}$, $\$P_{jacket}$)
- $\$Benefit_{sweater}$ vs. $\$OC_{sweater}$

Worksheet Q2 (counts for grades)

Put answer on worksheet

Something to think about at home

Summary

- The Three Principles give us a structured way of approaching a choice problem
- $\text{Opp. Cost} = \text{resources used} + \text{NBA Value} - \text{NBA resources}$.
- Always start with a Benefit vs. Opportunity Cost equation. Keep the variable of interest (e.g. price) on one side and move everything over to the other side. Rename the other side to captures what it represents. E.g. Willingness to Pay (or Accept)

ECO101 Overview

Quercus

- Most of the information you need is on there

Course Schedule

Click a topic to open that week's page. Midterm times are **outside regular class times** — put them in your calendar now.

Week	Dates	Topic	Work due
1	Tue 08-Sep - Mon 14-Sep	Thinking like an Economist	Participation Quiz due 15-Sep 5:00 PM
2	Tue 15-Sep - Mon 21-Sep	Gains from Trade	Participation Quiz due 22-Sep 5:00 PM Entry quiz due: 22-Sep 5:00 PM
3	Tue 22-Sep - Mon 28-Sep	Demand, Supply and Competitive Markets	Participation Quiz due 29-Sep 5:00 PM
4	Tue 29-Sep - Mon 05-Oct	Elasticity	Participation Quiz due 06-Oct 5:00 PM

Syllabus is on Quercus

ECO101H1F L301, L401 & L501: Principles of Microeconomics, Fall 2026
Prof. Freitas, Department of Economics, University of Toronto

Course Website: <https://q.utoronto.ca/courses/445736>

Course Email: eco101.freitas@utoronto.ca. See section 1.4.

Adjust your Quercus [notification settings](#) so you don't miss important information.

1 Course Overview

You have an unscheduled hour on a Saturday morning. Rare “free” time, right? Not quite. You could binge-watch something, sleep, visit a friend, or study. Picking one means giving up the chance to do the next best thing. Your “free” time has an *opportunity cost*, a central concept in economics.

ECO101 introduces you to a few general principles economists use to think through choices people and firms make. We examine the patterns those choices produce in markets, and how markets respond when conditions change. For example: what happens to laptop prices when data centres expand rapidly? Who

Important Dates

Test	Weight	Due Date
Entry Quiz	1%	Tuesday 22-Sept, 5:00 PM on Quercus
Midterm 1	25%	Friday, 16-Oct, 6-8 PM
Midterm 2	25%	Friday, 20-Nov, 6-8 PM
Final Exam	40%	December Final Exam period, 3 hrs, date and time TBD by A&S
Workshop Participation	4.5%	Completed during in-person workshops
Weekly Participation Quizzes	4.5%	Online on Quercus, due dates listed on each quiz

In-person Help (drop-in)

- Office hours: coverage across the week.
Schedule on Quercus
- Economics Study Centre: Mon-Thu
<https://www.economics.utoronto.ca/index.php/index/undergraduate/load/studyCentre>

Don't forget to give me your
completed worksheets

See you next workshop!
